AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS X EXAMINATION

APRIL/ MAY 2019

Business Studies Paper II

Time: 2 hours 20 minutes Marks: 50

April/ May 2019 Teacher for Distance Learning only

INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's Signature**

RUBRIC

2. There are THIRTEEN questions. Answer ALL questions. Questions 12 & 13 each offer TWO choices. Attempt any ONE choice from each.

3. When answering the questions:

   Read each question carefully.
   Use a black pointer to write your answers. DO NOT write your answers in pencil.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   DO NOT use staples, paper clips, glue, correcting fluid or ink erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).

5. You may use a simple calculator if you wish.

Q.1. (Total 3 Marks)

a. On January 01, 2019, the management of Alpha Food Limited decided to merge its business with a shoe manufacturing company.

Identify the type of merger depicted in the given scenario. (1 Mark)

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b. Describe any TWO advantages of the merger depicted in the given scenario. (2 Marks)

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Q.2. (Total 3 Marks)

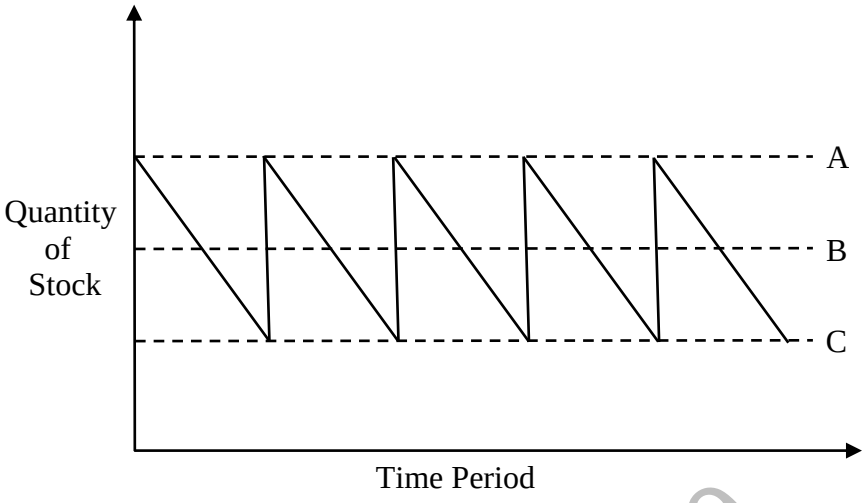
Identify each type of government policy described in the given table.

S. No.	Description of Policy	Type of Policy
1	A policy that refers to the manner in which a country manages its currency with respect to foreign currencies.	
2	A policy by which a government adjusts its spending levels and tax rates to monitor and influence the economy.	
3	A policy that is used to control inflation and to develop economy.	

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Q.3. (Total 3 Marks)

The given graph shows the different concepts of 'stock control'.



Name the regions marked (A, B and C) as either reorder quantity, maximum order quantity or minimum order quantity.

A. _____

B. _____

C. _____

Q.4. (Total 3 Marks)

The given table shows the total output and the cost incurred by two departments of Al-Rehman Motors for the year 2018.

Particular	Department A	Department B
Total cost incurred (Rs)	901,320	877,200
Total output (units)	6216	4080

On the basis of productivity, identify the better performing department. Support your answer with necessary workings.

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Q.5. (Total 5 Marks)

a. Identify the types of decisions in the following business scenarios. Attempt any THREE. (3 Marks)

S. No.	Business Scenario	Type of Decision
1.	The management of a restaurant decided to launch the best chef award. A special bonus will be given to the staff who will be working exceptionally well based on customer feedback.	
2.	The head chef of a restaurant has departmentalised the cooking area into the following categories: vegetable zone, meat zone, seafood zone and dessert zone. This has been done to promote work efficiency.	
3.	The manager of the dining area of the restaurant has allocated specific tasks to his team of waiters and waitress in order to provide more efficient services.	
4.	The restaurant administration department has taken the decision to remove 'Parking Not Allowed' signs on the weekends (holidays) in order to facilitate the large crowd of customers in the takeaway area.	

b. Describe any TWO types of decisions identified in part a. (2 Marks)

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Q.6. (Total 4 Marks)

A trade union works as a 'Pressure Group' in a business organisation. It safeguards the workers' interest.

Explain FOUR reasons due to which a person may join such a union.

Q.7. (Total 5 Marks)

Discuss any THREE benefits of centralised management structure and any TWO benefits of decentralised management structure.

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Q.8. (Total 4 Marks)

Explain any TWO roles of the given financial institutions in the development of an economy.

a. Commercial Banks (2 Marks)

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b. Insurance Companies (2 Marks)

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Q.9. (Total 4 Marks)

The following details are related to cash flow forecast of Basit Traders, as on February 01, 2018 for the upcoming quarter.

Particulars	February Amount (Rs)	March Amount (Rs)	April Amount (Rs)
Opening cash balance	Nil	**X**	20,920
Cash inflows:			
Sales revenue (cash)	20,000	22,000	24,200
Collection from customers	3,700	4,000	4,300
Rent of courtyard	4,000	4,000	4,000
Total cash inflows	**W**	**30,000**	**32,500**
Cash outflows:			
Commission	1,600	1,680	1,764
Payment to suppliers	13,000	14,000	15,000
interest and other expenses	3,000	3,500	4,000
Total cash outflows	**17,600**	**19,180**	**20,764**
Net cash flow	**10,100**	**Y**	**11,736**
Closing cash balance	10,100	20,920	**Z**

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Compute the missing values (W, X, Y, Z) from the given cash flow forecast of Basit Traders.

Q.10. (Total 3 Marks)

Complete the given table by describing the importance of SWOT (strengths, weakness, opportunities and threats) analysis.

	Importance
SWOT	1._____
	2._____
	3._____

Q.11. (Total 3 Marks)

Globalisation is widely used to describe the increased worldwide competition between businesses.

Discuss any THREE reasons for increase in international trade due to globalisation.

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Q.12. (Total 5 Marks)

EITHER

a. Leehan is a large producer of toys in China. He is planning to have a joint venture with Shan Toys in Pakistan to meet the increased demand in Pakistan.

Discuss THREE advantages and TWO disadvantages to Leehan of this joint venture.

OR

b. Describe any FIVE roles that are performed by a Finance Manager.

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Q.13. (Total 5 Marks)

EITHER

a. In order to demand higher wages, the trade union of Absar Limited has planned to announce a strike. In order to cope with the situation, the management has planned to do collective bargaining.

i. Define the term 'collective bargaining'. (1 Mark)

ii. Discuss the parties involved in collective bargaining. (1 Mark)

iii. Explain the process of collective bargaining to resolve the given issue. (3 Marks)

OR

b. Alpha Steel is a manufacturer of iron and steel. The management and workers of Alpha Steel have signed a single union agreement.

i. Define single union agreement. (1 Mark)

ii. Discuss TWO advantages of having a single union agreement to the following parties:

- Alpha Steel (2 Marks)
- Workers of Alpha Steel (2 Marks)

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END OF PAPER

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